
Duolingo FY2025 investor update

Results and 2026 plan, from public filings · Illustrative example, not affiliated with Duolingo

SoWhat Decks example · 2026-10-04

Duolingo is trading 2026 bookings growth for user growth, so judge 2026 by DAUs

- 1 **2025 delivered scale and profit: revenue rose 39% to \$1.04B and adjusted EBITDA margin reached 29.5%**

- 2 **User growth slowed: DAU growth fell from 51% to 30% and paid subscriber growth from 43% to 28%**

- 3 **The 2026 plan gives up about 5 points of bookings growth and accepts lower margins to grow users faster**

- 4 **\$360M of free cash flow and \$1.04B in cash can fund that bet and a \$400M buyback**

Revenue grew 39% to \$1.04B in 2025, the first year above \$1B

Planned exhibit: bar — revenue FY2023-FY2025, \$M, FY2025 highlighted

Layout: exhibit_takeaways

Evidence needed

- E1 Revenue FY2023: \$531.1M (earlier years lower: FY2020 \$161.7M, FY2021 \$250.8M, FY2022 \$369.5M) [SRC 1]
- E2 Revenue FY2024: \$748.0M [SRC 1]
- E3 Revenue FY2025: \$1,037.6M [SRC 1]
- E4 Revenue growth: FY2024 40.8%, FY2025 38.7% (letters round to 41% and 39%) [CALC]

Operating margin rose from 8.4% to 13.1%, and adjusted EBITDA margin reached 29.5%

Planned exhibit: bar — operating margin FY2023-FY2025, % (adjusted EBITDA margin FY2024-FY2025 in the takeaways)

Layout: exhibit_takeaways

Evidence needed

- E5 Operating income FY2023/FY2024/FY2025: $-\$13.3\text{M}$ / $\$62.6\text{M}$ / $\$135.6\text{M}$ [SRC 1]
- E6 Operating margin FY2023/FY2024/FY2025: -2.5% / 8.4% / 13.1% [CALC]
- E7 Adjusted EBITDA FY2024 $\$191.9\text{M}$ (25.7% margin); FY2025 $\$305.9\text{M}$ (29.5%) — non-GAAP [SRC 2]

A one-time \$257M tax benefit makes up most of 2025's \$414M net income

Planned exhibit: stacked bar — FY2025 net income split: one-time tax benefit vs the rest, \$M

Layout: exhibit_takeaways

Evidence needed

- E8 Net income FY2024 \$88.6M; FY2025 \$414.1M [SRC 1]
- E9 One-time income-tax benefit 2025 from valuation allowance release: \$256.7M [SRC 2]
- E10 Share of FY2025 net income from the one-time benefit: 62%; remainder about \$157.4M [CALC]

User growth slowed in 2025: DAUs grew 30% after 51%, and MAUs 14% after 32%

Planned exhibit: highlight table — YoY growth of DAUs, MAUs, paid subscribers, Q4 2024 vs Q4 2025, %

Layout: exhibit_takeaways

Evidence needed

- E11 DAUs Q4 2024 40.5M (+51% YoY); Q4 2025 52.7M (+30%) [SRC 2]
- E12 MAUs Q4 2024 116.7M (+32%); Q4 2025 133.1M (+14%) [SRC 2]
- E13 Paid subscribers Q4 2024 9.5M (+43%); Q4 2025 12.2M (+28%) [SRC 2]

Engagement still deepened: 40% of monthly users now open the app daily, up from 35%

Planned exhibit: bar — DAU/MAU ratio, Q4 2024 vs Q4 2025, %

Layout: exhibit_takeaways

Evidence needed

- E11 DAUs Q4 2024 40.5M (+51% YoY); Q4 2025 52.7M (+30%) [SRC 2]
- E12 MAUs Q4 2024 116.7M (+32%); Q4 2025 133.1M (+14%) [SRC 2]
- E14 DAU/MAU: Q4 2024 34.7%; Q4 2025 39.6% [CALC]

Paid subscribers grew 28% to 12.2M, slower than the 43% of a year earlier

Planned exhibit: bar — paid subscribers Q4 2024 vs Q4 2025, M, with share of MAUs

Layout: exhibit_takeaways

Evidence needed

- E13 Paid subscribers Q4 2024 9.5M (+43%); Q4 2025 12.2M (+28%) [SRC 2]
- E15 Paid subscribers / MAUs: Q4 2024 8.1%; Q4 2025 9.2% [CALC]

2026 guidance cuts bookings growth to 10-12% by giving up over \$50M of bookings to grow free users

Planned exhibit: bar — total bookings growth FY2024, FY2025, FY2026 guidance midpoint, %

Layout: exhibit_takeaways

Evidence needed

- E16 Total bookings FY2024 \$870.6M (+40%); FY2025 \$1,158.4M (+33%) [SRC 2]
- E17 2026 guidance: bookings \$1,274-1,298M (+10% to +12%); revenue \$1,197-1,221M (+15% to +18%); adjusted EBITDA margin 25.0% [SRC 2]
- E18 Management estimate: more than \$50M of foregone bookings, about 5 points of growth, invested in the free user experience [SRC 2]

Margins step down in 2026: gross margin to about 69% on AI costs, adjusted EBITDA margin to 25%

Planned exhibit: line — gross margin FY2023-FY2025 and 2026 guidance, %

Layout: exhibit_takeaways

Evidence needed

- E17 2026 guidance: bookings \$1,274-1,298M (+10% to +12%); revenue \$1,197-1,221M (+15% to +18%); adjusted EBITDA margin 25.0% [SRC 2]
- E19 Gross margin FY2023 73.2%, FY2024 72.8%, FY2025 72.2% [CALC]
- E20 Gross margin guidance: about 71% in Q1 2026, roughly 69% for the rest of 2026, mainly from AI features for all users [SRC 2]

\$360M of free cash flow and \$1.04B in cash can fund the user bet and a \$400M buyback

Planned exhibit: bar — operating cash flow and free cash flow FY2024-FY2025, \$M; cash at year end in takeaways

Layout: exhibit_takeaways

Evidence needed

- E21 Free cash flow FY2024 \$264.4M; FY2025 \$360.4M (+36%) — non-GAAP [SRC 2]
- E22 Cash and cash equivalents: \$785.8M (2024-12-31); \$1,036.4M (2025-12-31) [SRC 1]
- E23 Share repurchase authorization: \$400M [SRC 2]
- E24 Operating cash flow FY2024 \$285.5M; FY2025 \$387.8M [SRC 1]

Judge 2026 by whether DAU growth re-accelerates above 2025's 30%, not by bookings growth

Planned exhibit: three metrics to track each quarter, with the 2025 baseline and the guidance

Layout: recommendations

Evidence needed

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- E17 2026 guidance: bookings \$1,274-1,298M (+10% to +12%); revenue \$1,197-1,221M (+15% to +18%); adjusted EBITDA margin 25.0% [SRC 2]
- E20 Gross margin guidance: about 71% in Q1 2026, roughly 69% for the rest of 2026, mainly from AI features for all users [SRC 2]
- **[DATA NEEDED] DAU growth YoY for Q1-Q3 2026, %, from the 2026 quarterly shareholder letters; owner: analyst**

Key figures FY2023-FY2025

Planned exhibit: table — revenue, gross profit, operating income, net income, operating cash flow, cash; DAUs, MAUs, paid subscribers

Layout: appendix

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- +7 more items in storyline.md